MANAGEMENT INFORMATION SYSTEMS
ICT2162
LECTURE 06

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Operational Excellence and Customer Intimacy - Part II

What we discuss today?

- Customer Relationship Management Systems – CRM
  - What
  - SW
  - Operational, Analytical CRM
  - Business value
- EA - New Opportunities and Challenges
- Next-generation enterprise applications
- Social CRM
- Business Intelligence

Summary of the Previous Session

- Enterprise Systems(ERP)
  - Characteristics
  - How it works
  - Business Value
- Supply Chain Management Systems
  - Up Stream and Down Stream
  - Information and SCM
  - Bullwhip effect
  - How IS facilitate SCM
  - Supply chain management software
  - Global supply chain issues
  - Supply chain management systems
    - Push, pull, sequential, concurrent
  - Business value of SCM systems
  - The emerging internet-driven supply chain

Customer Relationship Management Systems - CRM

- What kinds of information would you need to build and nurture strong, long-lasting relationships with customers?
  - Know exactly who your customers are
  - How to contact them
  - Whether they are costly to service and sell to
  - What kinds of products and services they are interested in
  - How much money they spend on your company









Customer Relationship Management Systems – What is ?

- Knowing the customer
  - In large businesses, too many customers and too many ways customers interact with firm

- Customer Relationship Management (CRM) systems
  - Capture and integrate customer data from all over the organization
  - Consolidate and analyze customer data
  - Distribute customer information to various systems and customer touch points across enterprise
  - Provide single enterprise view of customers

CRM Systems – What is ?

- CRM systems examine customers from a multifaceted perspective

- These systems use
  - a set of integrated applications
  - to address all aspects of the customer relationship including
    - ✓ customer service
    - ✓ sales
    - ✓ marketing



CRM Systems – Software

- CRM packages range from niche tools to large scale enterprise applications
- More comprehensive have modules for:
  - Partner Relationship Management (PRM)
    - Use to enhance collaboration between a company and its selling partners
    - Provides ability to trade information and distribute leads and data about customers integrating
      - lead generation, pricing, promotions, order configurations, and availability
    - Providestools to assess partners' performances



  - Employee Relationship Management (ERM)
    - Deals with employee issues that are closely related to CRM
      - Setting objectives, employee performance management, performance-based compensation, employee training



CRM Systems – Software

CRM packages typically include tools for:

1. Sales force automation (SFA)
2. Customer service
3. Marketing

CRM Systems – Software

1. Sales Force Automation (SFA)
   - Help sales staff increase their productivity by
     - Focusing sales efforts on the most profitable customers
     - Those who are good candidates for sales and services
   - Provide
     - Sales prospect and contact information
     - Product information
     - Product configuration capabilities
     - Sales quote generation capabilities

CRM Systems – Software

2. Customer service
   - Provide information and tools to increase the efficiency of call centers, help desks, and customer support staff

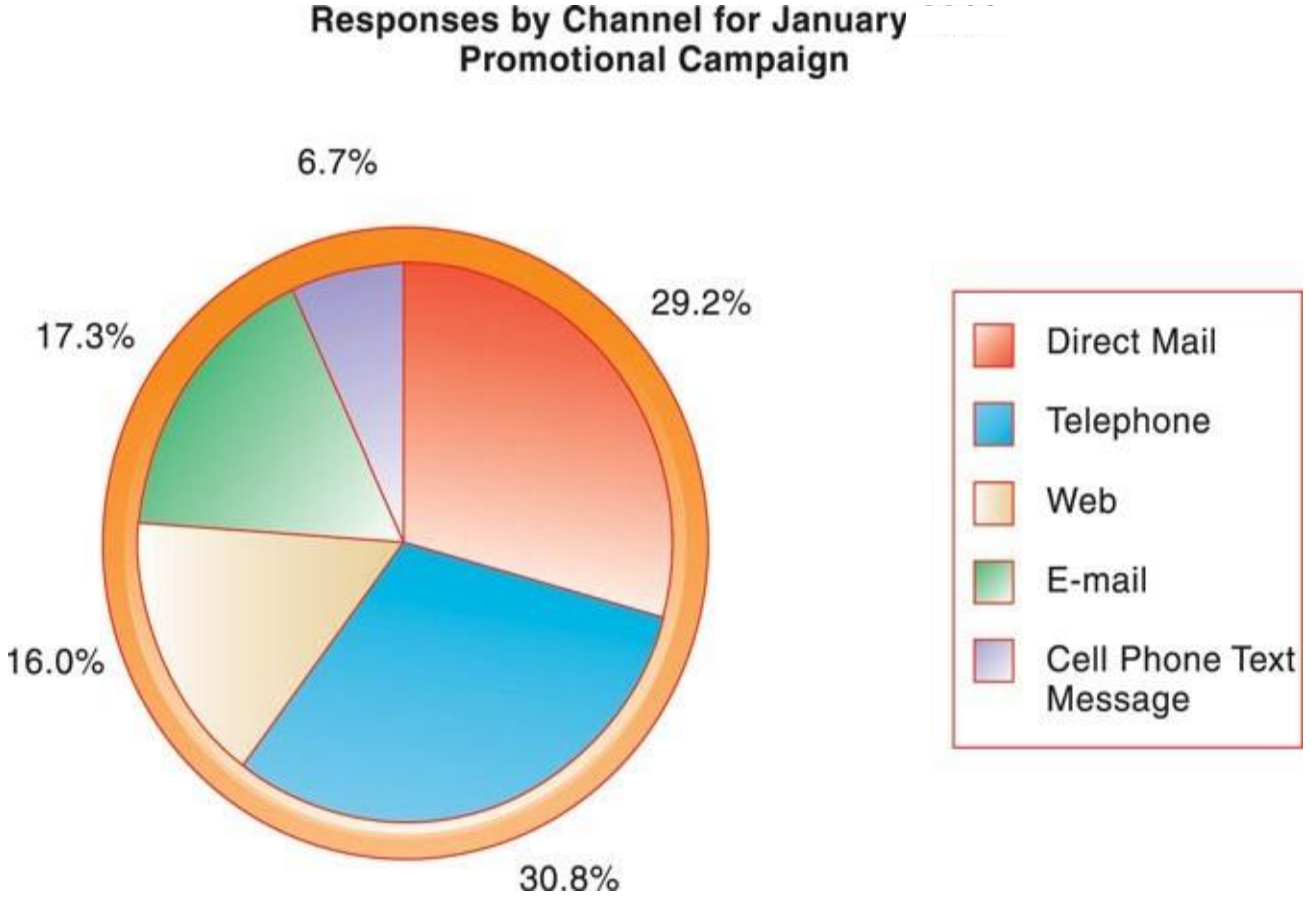
   - They have capabilities
     - For assigning and managing customer service requests
     - Web-based self-service capabilities

CRM Systems – Software

3. Marketing

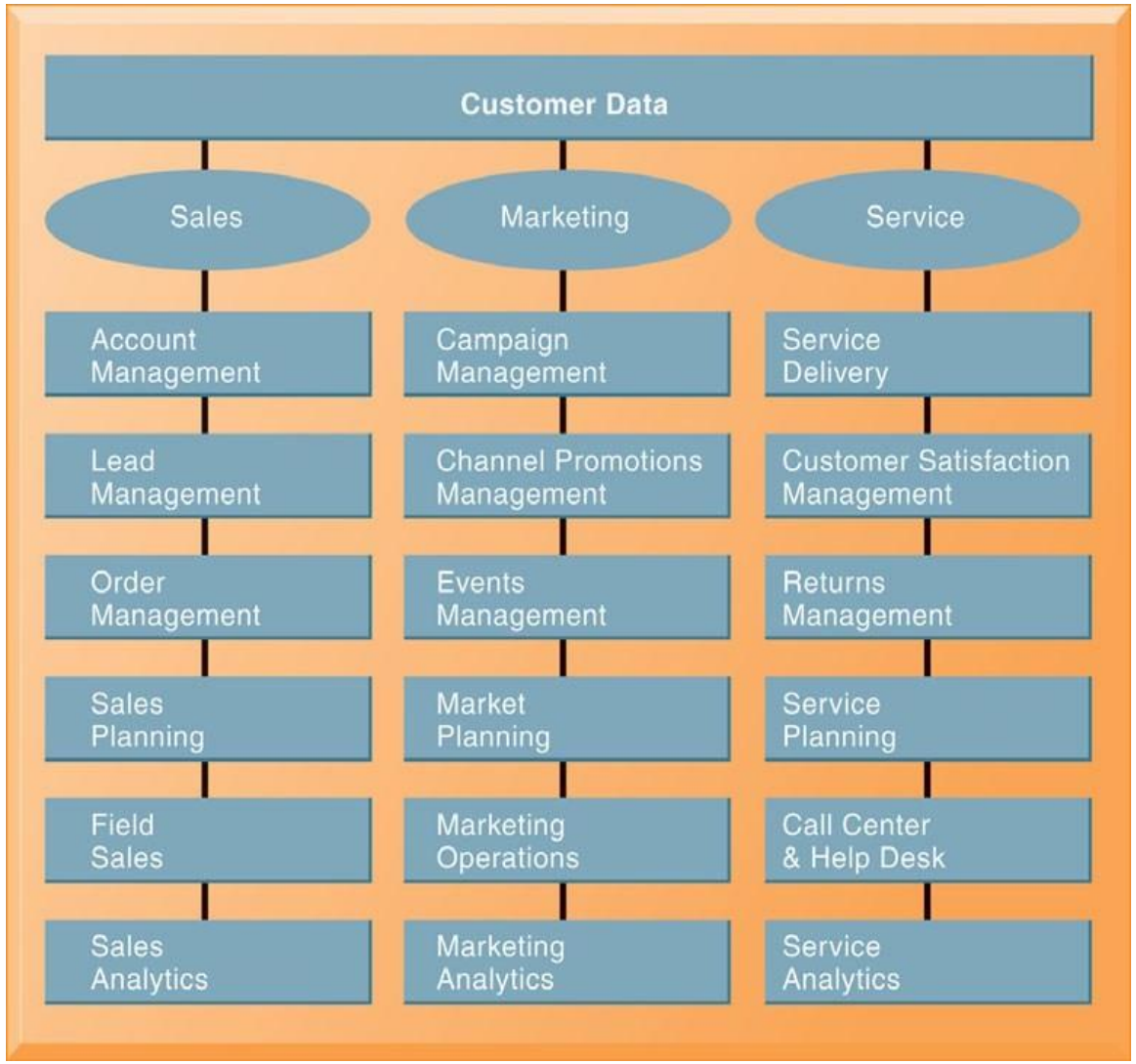
- support direct-marketing campaigns by providing capabilities for
  - Capturing prospect and customer data
  - Providing product and service information
  - Qualifying leads for targeted marketing
  - Scheduling and tracking direct-marketing mailings or e-mail
- Include tools for
  - Analyzing marketing and customer data
  - Identifying profitable and unprofitable customers,
  - Designing products and services to satisfy specific customer needs and interests,
  - Identifying opportunities for cross-selling.

CRM Systems – Software
How it supports marketing

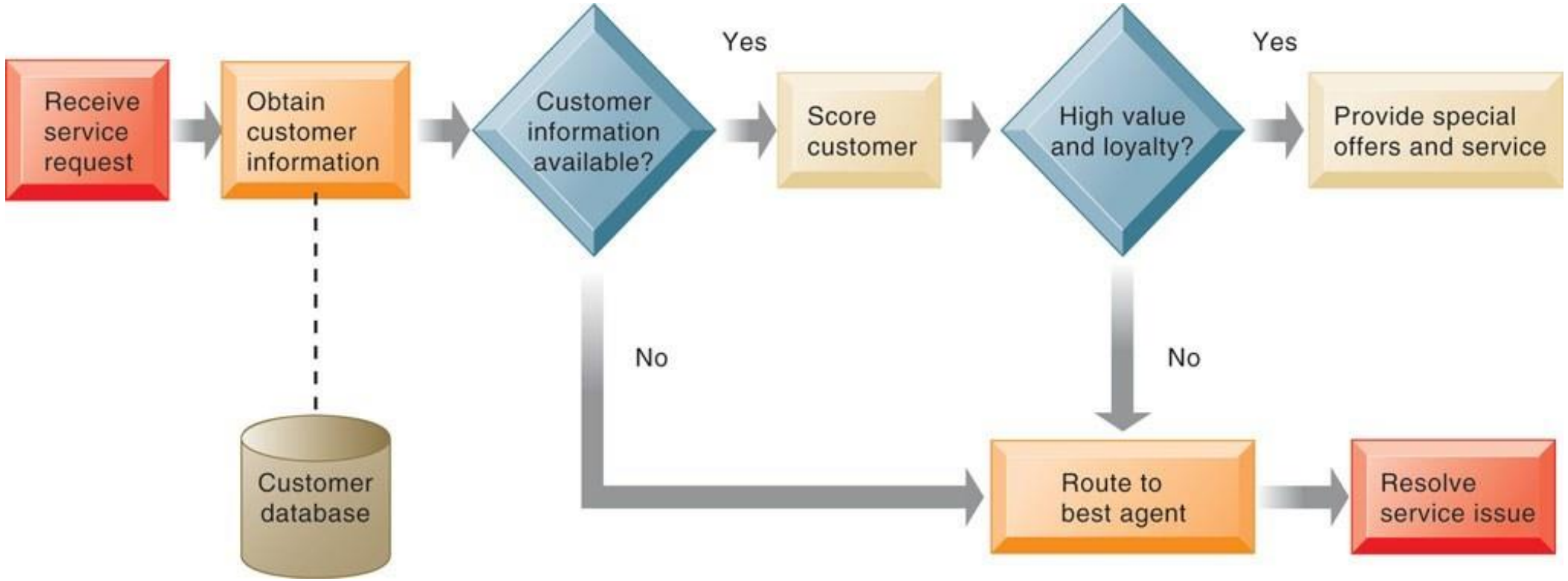


CRM software provides a single point for users to manage and evaluate marketing campaigns across multiple channels, including e-mail, direct mail, telephone, the web, and social media.

CRM Systems – Software : Capabilities



CRM Systems – Software
Customer Loyalty Management Process Map

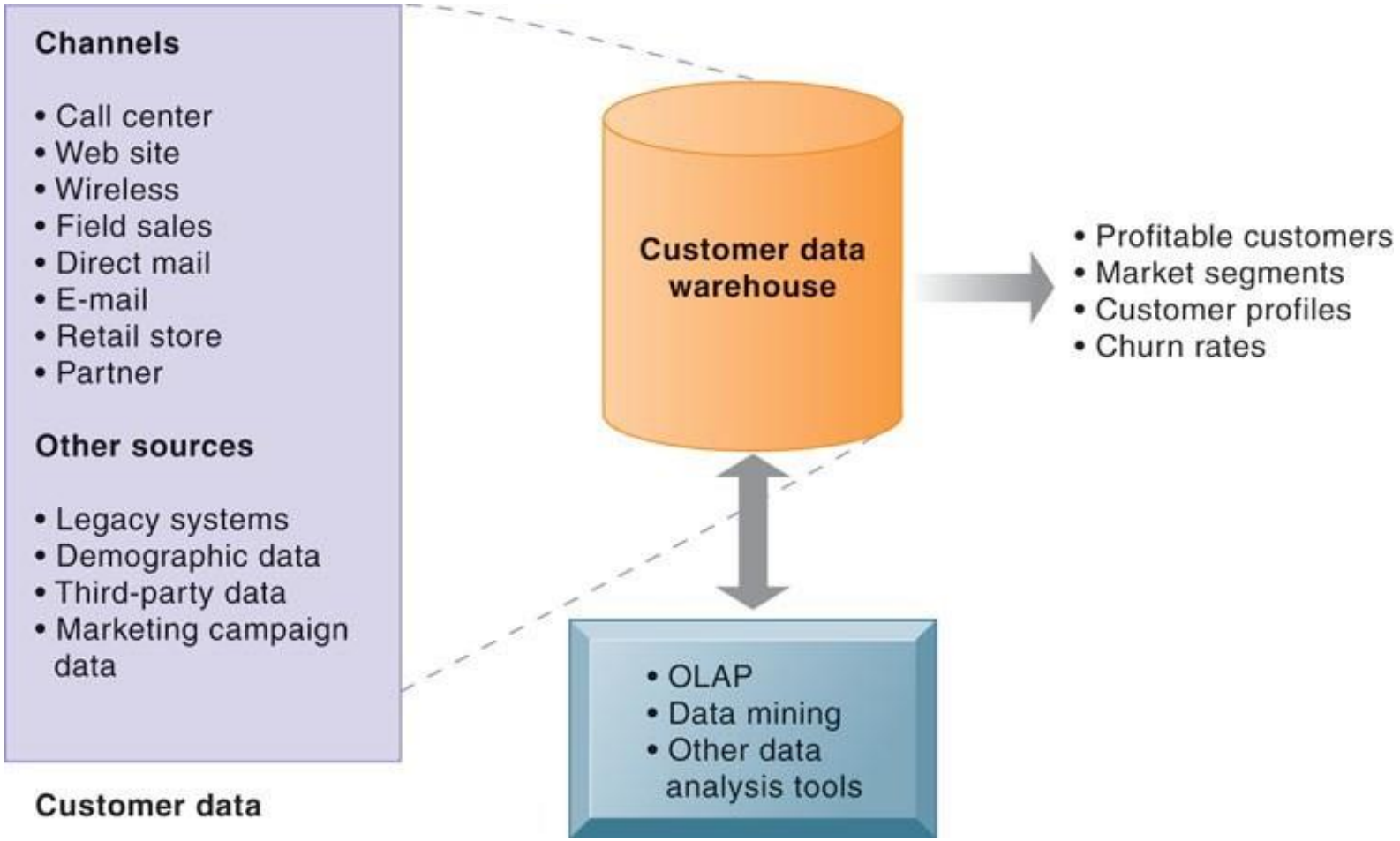


CRM Systems

Operational and Analytical Aspects

- Operational CRM
  - Includes customer-facing applications such as,
    - ✓ Tools for sales force automation
    - ✓ Call center and customer service support
    - ✓ Marketing automation
- Analytical CRM
  - Includes applications that
    - ✓ Analyze customer data generated by operational CRM applications
    - ✓ To provide information for improving business performance
    - ✓ Provide Customer Life Time Value(CLTV)

CRM Systems
Analytical CRM



CRM Systems – Business Value

- Increased customer satisfaction
- Reduced direct-marketing costs
- More effective marketing
- Lower costs for customer acquisition/retention
- Increased sales revenue
- Reduce churn rate
  - Number of customers who stop using or purchasing products or services from a company
  - Indicator of growth or decline of firm's customer base

Enterprise Applications

New Opportunities and Challenges

- Highly expensive to purchase and implement
  - $3.5 million to over $12 million, over 16 months
- Technological changes
- Business process changes
- Organizational changes
- Switching costs, dependence on software vendors
- Data standardization, management, cleansing

Next-generation Enterprise Applications

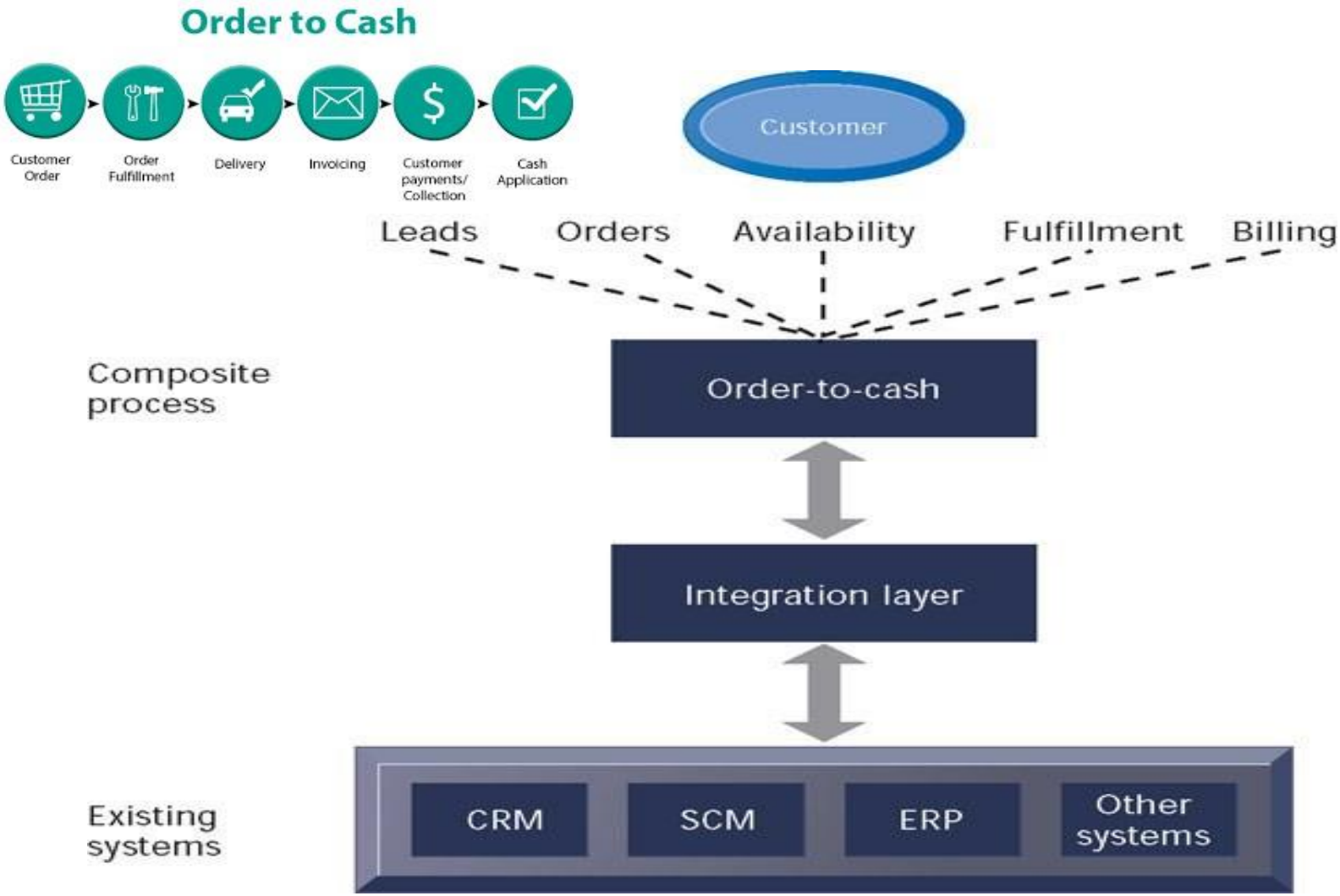
- Move is to make applications more flexible, Web enabled, integrated with other systems
- Enterprise suites
  - Software to enable CRM, SCM, and enterprise systems work together and with suppliers and client systems
  - Utilize Web services, SOA
- Open source & on-demand solutions
- Mobile compatible; Web 2.0 capabilities
- Complementary analytics products
- Cloud based software/services

Next-generation Enterprise Applications

- Service Platform
  - Integrates multiple applications to deliver a seamless experience for all parties
  - E.g. Order-to-cash process

- Portal Software
  - Used to integrate information from enterprise applications and legacy systems and present it as if coming from a single source

Next-generation Enterprise Applications



Social CRM

- Enable a business to connect customer conversations and relationships from social networking sites to CRM processes.
- Capabilities like
  - Link data from social networks
  - Social media analytics
  - Campaign management
  - Social marketing etc.

Business Intelligence

- To help managers to obtain more meaningful information from the massive amounts of data generated by ES
- Including tools for
  - Flexible reporting
  - Ad-hoc analysis
  - Interactive dash boards
  - What if scenario analysis
  - Data visualization techniques etc.
- Embed and standalone versions in the market

Summary

- Customer Relationship Management Systems – CRM
  - What
  - SW
    - ✓ PRM,ERM
    - ✓ (Sales force automation (SFA), Customer service, Marketing)
  - Operational, Analytical CRM
  - Business value
- EA - New Opportunities and Challenges
- Next-generation enterprise applications
  - Service, portal etc.
- Social CRM
- Business Intelligence

Questions ???



Thank you…